# COMMERCE

**Paper 7100/12**
**Paper 12 Multiple Choice**

| Question Number | Key | Question Number | Key | Question Number | Key | Question Number | Key |
|---|---|---|---|---|---|---|---|
| 1 | B | 11 | A | 21 | B | 31 | C |
| 2 | D | 12 | D | 22 | C | 32 | D |
| 3 | B | 13 | D | 23 | B | 33 | C |
| 4 | A | 14 | C | 24 | C | 34 | D |
| 5 | C | 15 | B | 25 | A | 35 | D |
| 6 | A | 16 | D | 26 | A | 36 | B |
| 7 | C | 17 | A | 27 | B | 37 | D |
| 8 | A | 18 | C | 28 | B | 38 | C |
| 9 | C | 19 | A | 29 | A | 39 | D |
| 10 | C | 20 | B | 30 | A | 40 | B |

## General comments

The multiple-choice paper consists of 40 four-option questions, of which seven questions presented diagrammatic data. These included **Questions 1**, **5**, **11**, **17**, **26**, **35** and **40**. In addition, **Questions 10** and **21** were calculation based. A very large number of candidates performed well on these two questions that presented numerical data.

Overall, candidates performed reasonably well on this paper. Mean marks were slightly over 28. **Questions 1**, **9**, **10**, **13**, **14**, **19**, **20**, **21**, **25**, **31**, **32**, **33**, **34**, **35**, **38** and **39** were answered correctly by over 80 per cent of the candidates. Of these, over 90 per cent of candidates answered **Questions 1**, **21** and **38** correctly.

## Comments on specific questions

Less than 45 per cent of candidates gave the correct answers to the questions detailed in this section. Of these, candidates found only one question highly challenging.

### Question 3

In **Question 3** on the linkage between commercial services and direct services, the correct answer was Option **B**, a lawyer drawing up a contract between a wholesaler and a retailer. Most candidates could answer this. However, there is an almost equal split between candidates choosing Option **A** and Option **C**. It seems that the candidates who chose Option **A** were confused between primary industry and commercial services, and the candidates who chose Option **C** were most likely guessing at the answer.


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**Question 8**

The correct answer, which was Option **A**, immediate ownership, was chosen by a majority of candidates. However, guess work cannot be ruled out for this question because the confusion existed between Option **B**, **C** and **D**. Very few candidates chose Option **D**, overall total cost, as their answer, and this indicates that broadly the candidates understood the idea of purchasing on credit.

**Question 22**

Candidates found this question relatively challenging. The correct answer was Option **C**, providing office space and warehouses. A large number of candidates chose the incorrect Option **D**, supervising the movement of imported and exported goods. It is clearly evident that candidates mixed up the customs authorities with port authority. The customs authorities are definitely responsible for imported and exported goods. It seems that candidates who answered incorrectly by choosing Option **D** seemed to have arrived at their answer through their understanding that the customs authorities are also involved in the supervision of bonded warehouses. This seems the only reason for the confusion between the terms.



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# COMMERCE

**Paper 7100/13**
**Paper 13 Multiple Choice**

| Question Number | Key | Question Number | Key | Question Number | Key | Question Number | Key |
|---|---|---|---|---|---|---|---|
| 1 | B | 11 | A | 21 | D | 31 | A |
| 2 | D | 12 | C | 22 | B | 32 | D |
| 3 | A | 13 | C | 23 | C | 33 | B |
| 4 | B | 14 | A | 24 | B | 34 | B |
| 5 | D | 15 | B | 25 | C | 35 | D |
| 6 | C | 16 | D | 26 | A | 36 | B |
| 7 | B | 17 | C | 27 | A | 37 | C |
| 8 | A | 18 | A | 28 | C | 38 | D |
| 9 | B | 19 | C | 29 | A | 39 | A |
| 10 | B | 20 | C | 30 | C | 40 | A |

## General comments

The multiple-choice paper consists of 40 four-option questions, of which seven questions presented diagrammatic data. These included **Questions 1**, **6**, **11**, **14**, **16**, **27**, **35**, **40**. In addition, **Questions 6**, **13**, **14**, **30** and **33** presented numerical data and required calculations.

**Questions 1**, **2**, **3**, **19**, **30**, **33**, **35** were answered correctly by over 80 per cent of candidates. From these, **Questions 1**, **3** and **33** were answered correctly by over 90 per cent of candidates.

Mean marks were 22.781

## Comments on specific questions

Performance in some of the questions – for which less than 40 per cent of candidates gave the correct answer – is discussed below.

### Question 4

**Question 4** assessed the relationship between commercial services and direct services. The correct answer was Option **B**, a lawyer drawing up a contract between a wholesaler and a retailer. Just one-third of the candidates answered this correctly. There was an almost equal split between candidates who chose Options **A**, **B** and **C**, which indicates that candidates were confused between primary industry and commercial services, and most likely guessing at the answer.


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**Question 21**

There is an almost equal split between candidates who chose Option **A**, express mail and Option **D**, registered post, as their answer, with both answers collectively gathering 72 per cent response. The correct answer was Option **D**. One of the plausible reasons for which a large number of candidates chose Option **A** as their answer is the words 'important legal' in the question. The candidates might have equated these words with the need for **urgent** delivery, and therefore their preference for express mail.

**Question 23**

This is the question that candidates found most challenging because only 13 per cent of the candidates gave the correct answer which was Option **C**, providing office space and warehouses. A large number of candidates chose the incorrect Option **D**, supervising the movement of imported and exported goods. It is clearly evident that candidates confused customs authorities with port authority. The customs authorities are definitely responsible for imported and exported goods. It seems that candidates who answered incorrectly by choosing Option **D** seemed to have arrived at their answer through their understanding that the customs authorities are also involved in the supervision of bonded warehouses. This could be the likely reason for the confusion between the terms.

**Question 24**

There is an **equal split** between candidates who chose Option **A**, advice note and Option **C**, bill of lading. These two options received 68 per cent of the responses between them. The correct answer is Option **B**, air waybill. The bill of lading is used only when goods are transported by ship. The candidates who gave Option **C** as their answer seemed to have overlooked the words 'cargo plane' in the question.

**Question 25**

Again, for this question there is an almost equal split between candidates who chose Option **B**, delays caused by congestion are less, and Option **C**, delivery times are improved. The correct answer was Option **C**. It seems that many candidates did not understand the meaning of the term 'logistics'.

**Question 28**

The candidates found this question to be challenging. 42 per cent of the candidates chose Option **B**, employer's liability, as their answer. This is an incorrect answer as employer's liability insurance covers the risk of accidents to employees in the workplace. The correct answer was Option **C**, fidelity guarantee.

**Question 36**

This question was expected to be relatively easy. However, less than 40 per cent of the candidates answered it correctly. The correct answer was Option **B**, a fruit stall. But almost one-third of the candidates chose Option **D**, a motor car dealer.



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**Paper 7100/22**
**Paper 22 Written**

## Key messages

Below are some general suggestions to help candidates do well in this examination.

- Candidates should be reminded that for this GCE O Level Commerce syllabus, it is the quality of the response that determines the level an answer achieves for the three 6-mark questions and the two 8-mark questions, rather than the quantity of correct statements contained within an answer. Quality is determined by progression through the hierarchy of the four assessment objectives set out in the syllabus.
- Note the number of marks awarded on each question.
- Use time effectively. Time spent on answering questions should be directly related to the number of marks allocated.
- Read and re-read questions before answering. Weak responses were often characterised by not taking enough time to fully register both the general focus of questions, and also the level of detail required.
- Look for the important words in each question, e.g. command words such as explain or describe and key words such as suitable or best.
- Show working out in any calculation questions.
- Revise all areas of the syllabus.
- Candidates should learn succinct and accurate commercial definitions.
- Answers to 6–8 mark questions should always be developed with examples and/or application. Unqualified single words, such as ‘easier’, ‘quicker’ and ‘cheaper’ do not score marks – these should be explained to get the marks.

## General comments

The paper appeared to be accessible to most students who coped well with the demands of the five questions. It discriminated well and there was no evidence of time pressure. The examination showed the importance of a consistent performance across the questions. The paper provides a broad coverage of the specification and therefore a clear understanding of the entire specification is essential for success.

All candidates had difficulty in answering **Questions 1(b)** and **5(e)**, where many candidates found it difficult to gain good marks on the topics of insurance premiums and supply chain difficulties. Apart from this, it was evident to examiners that all centres had prepared their candidates well by providing wide coverage of the syllabus content, with candidates possessing generally sound knowledge and understanding of commercial vocabulary.

The command words used in the examination paper indicate the Assessment Objective (AO) targeted:

**AO1 (Knowledge and understanding)** tests candidates on their ability to demonstrate their knowledge and understanding of commercial terms, ideas or principles mentioned in the question. For example, **Question 5(a)** asked candidates to ‘State **two** characteristics of a supermarket, apart from self-service checkouts.’ Command words such as ‘State’, ‘Name’, ‘Describe’, ‘Give’ and ‘List’ confirm the question is at this level and requires a straightforward response.

**AO2 (Application)** tests candidates’ ability to relate their answer to the context. In this examination, the context to **Question 1** was about motor car insurance premiums based on occupation. For example, **Question 1(a)(ii)** asked candidates ‘Which occupation in Fig. 1.1 is in the secondary industry.’ Command words such as ‘Which’, ‘Draw’, ‘Why’, ‘Give an example’ and ‘Calculate’ confirm the question is at this level and requires a candidate to make themselves familiar with the context provided.


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**AO3 (Analysis)** requires candidates to select, interpret or otherwise analyse some point presented in the question. For example, **Question 2(b)** asked candidates to 'Explain why letters are used by the club when signing new players.' Command words such as 'Identify'. 'Compare', 'Explain' and 'Analyse' confirm that the question is at this level.

**AO4 (Evaluation)** tests candidates' ability to formulate some judgements. For example, **Question 4(c)(ii)** asked candidates 'Do you think a loan would be the most suitable source of finance for Wasi to choose? Justify your answer.' Command words such as 'Explain why', 'Do you think', 'Discuss', 'Assess' and 'Evaluate' confirm the question is at this level.

Candidates should be reminded to make sure they give the number of responses required by the question. For example, in **Question 2(d)** candidates were asked to 'Evaluate two other factors sports clubs should consider before choosing air transport to send their equipment.' Some candidates gave one or three factors. It should be emphasised to candidates that including less than the question asks for will reduce the maximum marks that a candidate can score; likewise, including more than the prescribed number does not gain any more marks and may waste valuable examination time that could be used elsewhere.

## Comments on specific questions

### Question 1

**(a) (i)** Many attempted explanations of the term 'insurance premium' lacked precision. Weaker responses thought incorrectly that it was the same as an insurance policy.

**(ii)** The correct answer of machinist was frequently chosen.

**(b)** The best answers identified and explained two different reasons for the high premiums charged to students for motor car insurance. Marks were often lost by candidates who gave generic reasons without applying their answers to the context of students. A good example is below:

1 According to statistics, younger drivers such as students are more likely to be involved in an accident than older drivers so have to pay higher premiums as they make more insurance claims.
2 Younger drivers, such as students, lack driving experience. This increases the probability of them being in accidents compared to more experienced drivers.

**(c)** Centres should note that a question beginning with the command 'Do you think' or 'Should…' means that the reasoning can be on either side as long as it is justified. The best answers recognised that there would be advantages and disadvantages of individuals specialising in occupations. Weaker answers simply gave one or two points without explanation.

**(d)** Many candidates were able to circle the correct conclusion to each sentence: one circle for each sentence.

**(e)** It was clear that candidates had some knowledge and understanding of two different types of payments that Khalid could use to pay for his motor car annual premium. Some candidates suggested a credit card would be best and explained that a credit card would be 'free' credit if the amount owing was paid in advance or that the monthly statement was repaid as soon as it was due. Other candidates explained the merits of using a monthly direct debit as the most suitable source of payment. Some of these answers applied their answers well to the context by stating that, as a student, he might prefer to spread out his payments as it is unlikely that he could afford to pay for the premium in one lump sum. The strongest answers explained and analysed advantages and disadvantages of both types of payment with a supported recommendation based on the context and arguments presented. Weaker answers described the two types of payment without analysing or evaluating them. Some candidates confused direct debit with a debit card.


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**Question 2**

**(a)** Many candidates could correctly give an example of oral communication but often did not apply their answers to its use in the context of a cricket club.

**(b)** There were many maximum scores to this question, with relevant points on why letters are used by the cricket club when signing new players such as proof of the contract, can be referred to in case of dispute and letters provide a record. Weaker answers described what letters were without giving reasons.

**(c)** The best answers recognised that there would be advantages and disadvantages of negative social media reviews from cricket club supporters. Weaker answers did not apply their answers to the context of the question. A good example is below:

Negative social media reviews can affect the mental state of the players. It can demotivate them and affect their performance on the field. However, the reviews can at the same time, motivate to do better and prove the negative reviews wrong by the cricket club putting all their efforts into improving the situation.

**(d)** This question was not answered well. The question asked for a consideration of two factors, apart from the nature of equipment, that a sports club would consider before deciding to send their equipment by air transport. Consideration of factors such as speed, cost, security and the environment, for example, were expected with supporting analysis and evaluation to produce a good answer. Many answers only described one or two factors without analysing why they affected the sports club choice. Some weaker answers reviewed other transport methods, apart from air transport.

**Question 3**

**(a)** There was a high proportion of correct calculated answers for the maximum three marks. Some candidates achieved two out of three marks by not deducting the expenses from the gross profit to **part (iii)**.

**(b)** Many candidates knew that revenue meant income received from sales although some candidates incorrectly defined it as profit received.

**(c)** Stronger answers explained two disadvantages to Aisha of buying her meat pies from a wholesaler with application to the fact that meat pies are perishable goods that require refrigeration if they are not to become stale. Weaker answers identified one or two disadvantages without subsequent linked explanation. One good example is below:

1 The wholesaler, as the middleman, will keep their profit margin by passing on a higher price to Aisha which means that she will pay a higher price compared to buying direct from a meat pie producer.

2 The meat pies are perishable products that need to kept fresh. As Aisha will have to buy in bulk, this might affect the freshness of the meat pies when selling.

**(d)** The strongest answers explained and analysed both options, namely offering discounts and designing a website, to increase revenue with a justified recommendation based on the context and arguments presented. The strongest answers evaluated that giving discounts would provide a short-term boost to revenue but having a website would have more long-term benefits. Weaker answers described one or two of the options without analysis or a justified recommendation.

**Question 4**

**(a)** This question proved to be more difficult for many candidates than was expected. Some candidates, instead of recognising that Wasi could become either a sole trader or a private limited company, simply stated that he could open a photography studio.

**(b)** This question on the advantages and disadvantages of using mobile banking to make payments was generally very well answered. Weaker answers often only identified advantages and disadvantages without adequate supporting explanation.


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**(c) (i)** There were many acceptable reasons given for why Wasi might find it difficult to obtain finance. One good example is below:

Wasi, as a sole trader, would have not much collateral to offer a lender. He would therefore be seen as a high risk by the lender as not being able to repay any money financed.

**(ii)** Candidates generally found the topic of loans challenging. Stronger answers to this question analysed a number of relevant points, including the fact that Wasi could obtain the full amount that he needed for the studio while paying for it over a period of time which would help with his cash flow, even if it did cost him more. Weaker answers often mentioned interest being charged without analysis or evaluation.

**Question 5**

**(a)** Very well answered by most candidates who gave two valid characteristics of a supermarket. Selling a variety of goods and car parking were frequently supplied correct answers.

**(b)** Many candidates explained that self-service checkouts reduced the need to employ cashiers leading to lower costs. However, many candidates had difficulty in explaining a second advantage of self-service checkouts to supermarkets. Centres should refer to the published mark scheme for a range of valid advantages.

**(c)** Good answers demonstrated up-to-date knowledge on the effects of new technology on customers. Weaker answers often only identified one effect, such as less errors on billing, without supporting explanation.

**(d)** This True and False question on location of retail units produced a range of marks from zero to three with the second statement being the least well answered.

**(e)** This question proved challenging for many candidates. The question was looking for overseas difficulties faced by a supermarket when importing perishable stock, such as trade restrictions, language, exchange rate differences and distance. The best answers analysed two difficulties and made supported judgements on how these difficulties affected not only supermarkets' profitability but their reputation in supplying enough goods on supermarket shelves. Weaker answers simply described one or two overseas difficulties, often without application to perishable stock. A good example is below:

Supplying perishable stock from overseas may lead to trade protectionism difficulties. For example, a government may charge an importer high tariffs. This will lead to higher prices for supermarkets and their customers with less demand if customers decide to shop elsewhere.

Moreover, if there are supply chain delays owing to a lack of containers over long distances, this might lead to perishable stock becoming rotten. This would mean wasted stock for the supermarket which cannot be sold to customers.

Overall, there are many difficulties that could affect supermarkets using long supply chains. Supermarkets may think that they are better off in getting cheaper perishables from abroad but if one or more of these difficulties occur, supermarkets might well consider using home-produced perishable stock instead.


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# COMMERCE

**Paper 7100/23**
**Paper 23 Written**

## Key messages

Below are some general suggestions to help candidates do well in this examination.

- Candidates should be reminded that for this GCE O Level Commerce syllabus, it is the quality of the response that determines the level an answer achieves for the three 6-mark questions and the two 8-mark questions, rather than the quantity of correct statements contained within an answer. Quality is determined by progression through the hierarchy of the four assessment objectives set out in the syllabus.
- Note the number of marks awarded on each question.
- Use time effectively. Time spent on answering questions should be directly related to the number of marks allocated.
- Read and re-read questions before answering. Weak responses were often characterised by not taking enough time to fully register both the general focus of questions, and also the level of detail required.
- Look for the important words in each question, e.g. command words such as explain or describe and key words such as suitable or best.
- Show working out in any calculation questions.
- Revise all areas of the syllabus.
- Candidates should learn succinct and accurate commercial definitions.
- Answers to 6–8 mark questions should always be developed with examples and/or application. Unqualified single words, such as ‘easier’, ‘quicker’ and ‘cheaper’ do not score marks – these should be explained to get the marks.

## General comments

The paper appeared to be accessible to most candidates who coped well with the demands of the five questions. It discriminated well and there was no evidence of time pressure. The examination showed the importance of a consistent performance across the questions. The paper provides a broad coverage of the specification and therefore a clear understanding of the entire specification is essential for success.

All candidates had difficulty in answering **Questions 2(e)** and **5(e)**, where many candidates found it difficult to gain good marks on the topics of own brands and the implications for banks of customers using online banking. Apart from this, it was evident to Examiners that all centres had prepared their candidates well by providing wide coverage of the syllabus content, with candidates possessing generally sound knowledge and understanding of commercial vocabulary.

The command words used in the examination paper indicate the Assessment Objective (AO) targeted:

**AO1 (Knowledge and understanding)** tests candidates on their ability to demonstrate their knowledge and understanding of commercial terms, ideas or principles mentioned in the question. For example, **Question 5(b)** asked candidates to ‘Describe a mobile app.’ Command words such as ‘State’, ‘Name’, ‘Describe’, ‘Give’ and ‘List’ confirm the question is at this level and requires a straightforward response.

**AO2 (Application)** tests candidates’ ability to relate their answer to the context. In this examination, the context to **Question 2** was about Kafu, an airport retailer. For example, **Question 2(c)** asked candidates to calculate ‘Kafu’s selling price on his sunglasses’ Command words such as ‘How’, ‘Draw’, ‘Why’, ‘Give an example’ and ‘Calculate’ confirm the question is at this level and requires a candidate to make themselves familiar with the context provided.


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**AO3 (Analysis)** requires candidates to select, interpret or otherwise analyse some point presented in the question. For example, **Question 4(c)** asked candidates to 'Explain **two** reasons why governments impose tariffs on goods'. Command words such as 'Identify'. 'Compare', 'Explain' and 'Analyse' confirm that the question is at this level.

**AO4 (Evaluation)** tests candidates' ability to formulate some judgements. For example, **Question 1(d)** asked candidates 'Do you think using motorcycles to deliver packages is good for the environment?' Command words such as 'Explain why', 'Do you think', 'Discuss', 'Assess' and 'Evaluate' confirm the question is at this level.

Candidates should be reminded to make sure they give the number of responses required by the question. For example, in **Question 4(b)** candidates were asked to 'Explain one benefit to an importer of free trade.' Some candidates gave two benefits. It should be emphasised to candidates that including less than the question asks for will reduce the maximum marks that a candidate can score; likewise, including more than the prescribed number does not gain any more marks and may waste valuable examination time that could be used elsewhere.

## Comments on specific questions

### Question 1

**(a) (i)** Many candidates identified 'websites' or other digital devices where pop-ups can be found.

**(ii)** The term method of appeal was not well understood by candidates. Candidates were expected to study Fig. 1.1 and then apply a suitable method of appeal, such as adventure and social acceptance.

**(b)** Good answers identified and explained two different reasons why taking out insurance was important to a motorcycle rider. Weaker answers often only identified reasons without adequate supporting explanation.

**(c)** Many candidates were able to circle the correct conclusion to each sentence: one circle for each sentence.

**(d)** Centres should note that a question beginning with the command word 'Are', 'Should', 'Would' or 'Do you think' means that the reasoning can be on either side as long as it is justified. Many answers balanced positive and negative points which generally worked well. The best answers demonstrated good knowledge of the environment applied to delivering packages by motorcycle. One good example is below:

Yes, motorcycles emit lower toxic gases than cars as they can move faster through traffic. However, they still release carbon dioxide as they deliver smaller packages than cars on more journeys this leads to more air and noise pollution. It would be better for the environment if they used bicycles.

**(e)** It was clear that candidates had some knowledge and understanding of these two different sources of finance that Keisha could use to finance buying a motorcycle. Some candidates suggested hire purchase would be best and explained that it can be repaid over a long period of time without having the need to save money before she could use it. Other candidates explained the merits of paying by cash so that there would be no interest to be paid. The strongest answers explained and analysed advantages and disadvantages of both sources of finance with a supported recommendation based on the context and arguments presented. Weaker answers described the sources of finance without analysing or evaluating them.

### Question 2

**(a)** There were many acceptable reasons on why retailers set up stores at airports. Candidates lost marks by repeating the same reason, using different words or by giving incorrect answers such as reduced taxes and reduced rents. One good example is below:

1. Travellers sometimes forget to pack items such as sunglasses before flying abroad.
2. Travellers like to purchase souvenirs before flying home.


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**(b)** The majority of candidates could state one characteristics of a public sector organisation. Some candidates incorrectly thought that a public sector organisation is a public limited company and sells shares.

**(c)** Many candidates gave $48 as the correct answer.

**(d)** Stronger answers explained reasons why a consumer should, or should not, buy their sunglasses at an airport store or online. The candidates who thought that they should buy them at the airport gave relevant reasons of being able to inspect and try on the sunglasses immediately. Candidates who thought it would be better to buy sunglasses online reasoned that they would have greater choice online at cheaper prices. Weaker answers identified one or two points about buying from a store or online without applying, or developing, their answers to buying sunglasses.

**(e)** This question was not answered well. Candidates generally could describe branding but not own brands and found difficulty in demonstrating skills in analysing and evaluating their importance. A good example is below:

Own brands are sold on supermarket shelves alongside branded goods. An example is Aldi own brand biscuits sold alongside branded biscuits. As they are often cheaper than the branded goods, consumers are attracted to them which increases the supermarket's sales. However, as they are sold at a lower price, and sometimes are manufactured by the supermarket, they result in lower profit margins. Nevertheless, more consumers are recognising and buying own brand goods leading to greater customer loyalty for the supermarket. Therefore, own brand goods have become very important to supermarkets as they compete for customers in a competitive retail environment.

**Question 3**

**(a)** The correct answer of music was frequently chosen.

**(b)** This question proved to be more difficult for many candidates than was expected. Incorrect answers generally did not know the formula to calculate the rate of inventory turnover.

**(c)** The best answers explained either the benefits and/or drawbacks to a wholesaler of fully stocking a warehouse. Weaker answers often gave limited reasoning or did not justify their reasoning. A good example is below:

I agree and disagree that the wholesaler should have their warehouse fully stocked. If the wholesaler is not fully stocked retailers will be annoyed that they cannot obtain enough goods to sell and lose sales. In contrast, predicting demand is difficult. If wholesalers fully stock their warehouses and some of these goods, especially perishable goods, are not demanded this can lead to stock perishing and increased wholesaler losses.

**(d)** The strongest answers explained and analysed both options, namely offering discounts and improving delivery, to increase sales turnover with a justified recommendation based on the context and arguments presented. Weaker answers described one or two of the options without analysis or a justified recommendation.

**Question 4**

**(a)** Many attempted definitions of the term 'global market' lacked precision.

**(b)** Although many candidates knew that the benefit to an importer of free trade was no import duties, they were often unable to explain the benefit.

**(c)** The best answers identified two clear reasons and explained why governments impose tariffs. Weaker answers simply identified one or two reasons without explaining them. A good example is below:

1. Governments impose tariffs to protect local firms from foreign competition of cheaper imports from abroad that might flood the market and put local firms out of business.
2. To raise revenue to pay for infrastructure projects such as new roads or improving education.


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**(d)** The best answers to this question produced a well-argued answer, with relevant supporting evidence, on the functions of bonded warehouses with a developed evaluation reviewing the importance of bonded warehouses. However, many candidates failed to produce relevant evidence and tended to discuss general points relating simply to warehousing.

**Question 5**

**(a) (i)** This question was poorly answered. Many candidates seemed to be unable understand what was meant by the word 'trends' in the question. These candidates simply identified two communication channels without giving the trend. For example, one trend was that online banking was the most popular banking communication channel shown in Fig. 5.1.

**(ii)** The majority of candidates knew that Country B was the correct answer**.**

**(b)** Very well answered by many candidates who gave two valid points in describing a mobile app. An example of a valid point is that a mobile app is downloaded from an application store.

**(c)** This question required answers on two reasons why email is not a popular choice when communicating. Many candidates could identify relevant reasons, such as delays in reading emails and that some people preferred to communicate through social media. Good answers developed these reasons by explaining how it affected people not to use email, while weaker answers tended to write a list of reasons without related explanation.

**(d)** This True and False question on banking methods of payments produced a range of marks from zero to three with the second statement being the most well answered.

**(e)** This question proved challenging for many candidates. The best answers described and analysed the possible implications, both positive and negative, to banks of customers now preferring to use online banking rather than to visit a bank branch, with an overall judgement made on these implications. However, there were many weak responses that often discussed the benefits to customers using online banking rather than answering the question set. A good example is below:

With more customers using online banking, the banks have started to close bank branches. This has led to many bank clerks being made redundant as there is no work for them. The banks are also saving money as there are less fixed costs with fewer premises and running costs.

However, banks have to increase their costs by providing secure websites and banking apps so that customers can access their accounts without being hacked. Some customers, not used to technology, are dissatisfied with this change and closed their accounts leading to less profits for banks.

Overall, there are many cost benefits to banks by customers doing online banking but this comes against not communicating with their customers face-to-face to be able to upsell some of their products.


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